



Copper: Preliminary Data for April 2011

The International Copper Study Group (ICSG) released preliminary data for April 2011 world copper supply and demand in its July 2011 Copper Bulletin. The Bulletin is available for sale upon request.

According to preliminary ICSG data, the refined copper market balance for April 2011 showed a production deficit of 36,000 metric tonnes (t). However, when making seasonal adjustments for world refined production and usage, April showed a surplus of 46,000 t. The apparent refined copper balance for the first four months of 2011, including revisions to data previously presented, indicates a production deficit of 69,000 t (a seasonally adjusted surplus of 46,000 t). This compares with a production deficit of 57,000 t (a seasonally adjusted surplus of 70,000 t) in the same period of 2010.

During the first four months of 2011, world apparent usage grew by 1.2% compared with that in the same period of 2010. A 7% decline in apparent usage* at the world biggest copper using country, China, was more than offset by growth in other parts of the world, including Russia (growth of 89%), the European Union (2.2%), and the United States (2.2%). China's apparent usage decline reflected a 40% decrease in net imports of refined copper from those in the same period of 2010, while the increase in Russia's apparent usage reflected a 63% decline in net refined exports. Usage in the United States and the EU continued to recover from the recession, although now at a slower pace than during 2010. On a regional basis, usage grew by 5% in Africa, 3.7% in the Americas, 9.3% in Europe and 38% in Oceania, and declined by 2.8% in Asia.

World mine production grew by around 2% in the first four months of 2011 compared with that in the same period of 2010: Concentrate production grew by 3% while solvent extraction-electrowinning (SX-EW) declined by 1.5%. In part, this modest net increase reflects operational constraints that reduced production in 2010 in Australia and Mexico. Production in Chile, the world's leading producer, was down by 1.4%. Production was also down in other major producers, including the United States (-4.5%), Indonesia (-18%) and the Democratic Republic of Congo (-16%). On a regional basis, mine production increased by 0.7% in the Americas, 5.7% in Europe and 22% in Oceania, but decreased by around 0.5% in both Africa and Asia. The mine capacity utilization rate increased slightly in April and the average for the first four months of 2011 was unchanged from that in the same period of 2010.

During the first four months of 2011, world refined production grew by 1% as compared with that in the same period of 2010: Primary production remained practically unchanged and secondary production (from scrap) increased by 4.7%. Production increases of 57% in Australia (recovery from low 2010 level), 12% in China and 6% in India were partially offset by declines in Chile (-4%), the United States (-11%), Canada (-28%) and Japan (-16%). Refined production capacity utilization in the first four months of 2011 was around 78% as compared with 79% in the same period of 2010.

The average LME cash price for June 2011 was US\$9,045.43 per tonne, up from the May 2011 average of US\$8,927.05 per tonne. The 2011 high and low copper prices through the end of June were US\$10,148 and US\$8,536.5 per tonne, respectively, and the average was US\$9,397.64 per tonne. As of the end of June, copper stocks held at the major metal exchanges (LME, COMEX, SHFE) totalled 616,912 t, an increase of 48,730 t from stocks held at the end of December 2010. Compared to the May levels, stocks were down at the three exchanges.

Please visit the ICSG website www.icsg.org for further copper market related information.

* China's apparent copper usage is based only on reported data (production + net trade +/- SHFE stock changes +/- industry stock changes, if reported) and does not take into account changes in unreported stocks [State Reserve Bureau (SRB), producer, consumer and merchant/trader], which may be significant during periods of stocking or de-stocking.

World Refined Copper Usage and Supply Trends, 2005-2011

Thousand metric tonnes, copper

	2005	2006	2007	2008	2009	2010	2010	2011	2011			
						p/	Jan-Apr		Jan	Feb	Mar	Apr
World Mine Production	14,922	14,990	15,483	15,547	15,954	16,116	5,095	5,201	1,331	1,180	1,365	1,325
World Mine Capacity	16,123	17,174	18,111	18,740	19,523	19,898	6,506	6,644	1,712	1,549	1,718	1,665
Mine Capacity Utilization (%)	92.5	87.3	85.5	83.0	81.7	81.0	78.3	78.3	77.8	76.2	79.4	79.6
Primary Refined Production	14,411	14,678	15,191	15,403	15,439	15,725	5,156	5,169	1,339	1,210	1,349	1,270
Secondary Refined Production	2,161	2,613	2,743	2,823	2,839	3,356	1,050	1,100	262	240	294	304
World Refined Production (Secondary+Primary)	16,572	17,291	17,934	18,226	18,278	19,081	6,206	6,268	1,602	1,450	1,643	1,574
World Refinery Capacity	19,153	20,555	21,784	22,723	23,625	23,908	7,833	8,019	2,064	1,869	2,074	2,012
Refineries Capacity Utilization (%)	86.5	84.1	82.3	80.2	77.4	79.8	79.2	78.2	77.6	77.6	79.2	78.2
World Refined Usage 1/	16,674	17,034	18,197	18,039	18,090	19,327	6,263	6,337	1,651	1,449	1,627	1,610
Refined Stocks End of Period	867	1,132	1,028	1,159	1,433	1,289	1,495	1,421	1,364	1,413	1,423	1,421
Period Stock Change	-56	265	-105	132	274	-145	62	133	75	49	10	-2
Refined Balance 2/	-102	257	-263	187	188	-246	-57	-69	-49	1	16	-36
Seasonally Adjusted Refined Balance 3/							70	46	-57	5	52	46

Due to the nature of statistical reporting, the published data should be considered as preliminary as some figures are currently based on estimates and could change. p/ preliminary, 1/ Based on EU apparent usage. 2/ Surplus/deficit is calculated using refined production minus refined usage. 3/ Surplus/deficit is calculated using seasonally adjusted refined production minus seasonally adjusted refined usage.